County of San Diego, Health and Human Services Agency (HHSA)
CalWORKs Program Guide/CalFresh Program Guide Special Notice

Social Security Administration - Cost of Living Adjustment	Number	Page
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Effective Date:
January 1, 2023

Background:
Social Security Administration (SSA) recipients will receive an 8.7 percent Cost-of-Living Adjustment (COLA) effective December 30, 2022, and payable January 1, 2023.

Policy:
A COLA Mass Update will run on December 3, 2022, and automatically adjusting CalWORKs and CalFresh benefits to reflect the increased SSA COLA effective January 2023. The automatic adjustment of the SSA COLA will **not** occur on cases where there was a discrepancy. Cases not included in the COLA run, such as applications with customers providing the pre-COLA benefit amounts, will require a recalculation of January 2023 benefits as follows:

Step	Action
1	Use the previous SSA Title II benefit amount
2	Multiply the amount by 1.087
3	Round down to the next lower dollar (remove the cents)
4	Final amount will be the new anticipated SSA benefit amount

Treatment of SSA COLA for Ongoing Semi-Annual Reporting (SAR) Customers
The SSA COLA is considered a mid-period county-initiated action. As a result, a decrease in CalWORKs or CalFresh benefits may occur effective January 1, 2023, with timely and adequate notice.

CalWORKs Income Reporting Threshold (IRT) Requirements
CalWORKs customers are required to report if the COLA increase, when combined with earned income, results in the Assistance Unit (AU) income exceeding the IRT. If income exceeding the IRT is reported by the AU, an evaluation is required to determine if cash aid should be discontinued. If cash aid is discontinued, the CalFresh household (HH) will continue to receive benefits through Transitional CalFresh.

Treatment of SSA COLA for CalWORKs Annual Reporting/Child Only (AR/CO) Cases
Upon receipt of this Special Notice, take action on cases with SSA income that were not included in the COLA run (refer to the Procedure section below). The only cases where this action will not be considered mid-period are those AR/CO cases with a December 2022 redetermination. For those cases, include the updated SSA COLA amount in budgeting for the upcoming AR/CO period.

Timely and Adequate Notice
As with any adverse action, timely and adequate notice is required to decrease benefits when CalWORKs or CalFresh benefit amounts are decreased due to the SSA COLA benefit increase. If unable to change January 2023 CalWORKs grant or CalFresh allotment amount, take the appropriate action to decrease benefits the first of the following month after timely adequate notice can be provided. Recalculate January 2023 benefits using the new SSA payment amount; and if the calculation results in a decrease, an overpayment/overissuance will need to be established as appropriate.

Note: During the pandemic, for any month in which an Emergency Allotment (EA) was issued, do not establish an overissuance unless the HH is found to be completely ineligible for CalFresh or there is evidence of benefit trafficking. Refer to CalFresh Program Memo No. 20-15.

Procedure:
The reports below require action and can be found on the SharePoint site, under the EOA/EO Tracking/SSA COLA 2023 folder:

- Mass Update COLA Exception Report – CalWORKs/CalFresh cases that did not convert successfully during the COLA update process will require a recalculation of January 2023 benefits and manual authorization
- Client Correspondence Details Report – List of correspondence remaining online after the SSA COLA was run that remains in the print queue will require:
  - Review all correspondence that is held in the print queue
  - Delete unnecessary correspondence
  - Mail out remaining correspondence after completing any manual variables

References:
ACIN No. I-72-22

Sunset Date:
This policy will be reviewed for continuance by December 31, 2023.

Approval for Release:



Assmaa Elayyat, Chief
Self-Sufficiency Services